

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE,

— vs. —

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

COMPLAINANTS' STATUS REPORT

Complainants herein submit this Status Report to make the Commission aware of changes in status regarding the above captioned matter as it pertains to Complainants' Exceptions to the Presiding Officer's Initial Decision of June 17, 2016 which dismissed the Complaint, as well as Complainants' Second Petition to Reopen the Proceedings, both of which are pending before the Commission.

As the Commission may recall, on February 1, 2018, Complainants filed a Motion to extend the deadline for the Commission's issuance of a Final Decision to the Exceptions to the Presiding Officer's Initial Decision and Complainants' Second Petition to Reopen the Proceedings wherein complainants explained that Royal Finance Group Inc. ("RFG") issued inflated invoices and overcharged complainants for OTI services which it did not provide, and wherein complainants further explained that good cause existed for the Commission to extend its own deadline for the issuance of a Final Decision.

Specifically, Complainants explained as follows: a) there is currently an ongoing Federal litigation involving the parties herein in the U.S. Court for the District of New Jersey, captioned as World Express & Connection, Inc. v. Crocus Investments, LLC et al. U.S.D.C. -- D.N.J.

Docket No.: 2:15-cv-08126- KM-MAH, wherein the respondents are named as third-party defendants; b) on January 31, 2018, the undersigned took the deposition of third-party defendant therein, VADIM ALPER a/k/a DIMITRY ALPER who was the former General Counsel and Director of Operations of respondent herein, Marine Transport Logistic, Inc., (“MTL”), and that Mr. Alper acted in those roles during the relevant time period where the events which resulted in the instant action are alleged to have occurred; and c) during the course of his deposition, Mr. Alper gave testimony based upon his personal knowledge regarding respondents herein, Aleksandr Solovyev a/k/a Royal Finance Group Inc., and disclosed information previously in the sole custody and control of respondents and which was withheld by respondents during the course of the proceedings herein.

As further set forth in complainants’ Motion to extend the deadline for the Commission’s issuance of a Final Decision, complainants explained that the testimony of Mr. Alper further constitutes new evidence which is material to the Initial Decision, and which will impact the Commission’s issuance of a Final Decision in this matter. Specifically, it was explained that Mr. Alper’s testimony included information regarding the very same cargo at issue in this action, to wit: complainants’ 2008 Chaparral boat (the “Chaparral”); 2011 Monterey 204 boat (the “Monterey”); and 2010 Formula 34PC boat (the “Formula”). It was also explained by complainants that Mr. Alper gave testimony which is material to the Presiding Officer’s determination in the Initial Decision that: (a) respondents Solovyev and Royal Finance Group (“RFG”) allegedly did not act as an Ocean Transportation Intermediary (“OTI”) without a license; and (b) that no Shipping Act violations allegedly occurred with respect to respondents’ transport of the Monterey and Chaparral from the United States to Dubai.

As set forth in detail herein, Mr. Alper testified regarding: (1) the shipment of the Monterey and Chaparral to Dubai and cross referenced the Royal Finance Group (“RFG”) invoices for this shipment against the Maersk Ocean Liner Bill of Lading. He offered testimony regarding MTL’s failure to identify to Maersk the boat trailers which were contained within the cargo containers, and on which the Monterey and Chaparral were stored during shipment and for which RFG issued invoices for ocean freight, collected money from complainants and profited as a result thereof complainants for ocean freight for trailers; and (2) MTL’s knowledge regarding the requirement that U.S. Customs officials must validate the Certificate of Title for a boat trailer prior to export (in the same manner that automobiles cannot be loaded onboard an ocean liner without having their Certificates of Title validated by U.S. Customs), explaining as follows: “...in order to ship a boat trailer or a boat on a trailer, a title is required due to the fact that U.S. Customs classifies boat trailers in the same manner as self-propelled vehicles. In the event that a boat on a trailer is being shipped, U.S. Customs would validate the title for the trailer.” (See, Transcript of the Deposition of Dimitry Alper of January 31, 2018, discussed below, Appendix “A”, p. 22/ln. 12-25; p. 23/ln. 1-16)¹.

It is undisputed that RFG charged complainants herein for ocean freight which included shipment of the boat trailers, and that no Certificates of Title (with a VIN # for the trailers) were presented to either complainants, to the Ocean Liner or to U.S. Customs for validation. As set forth below, it is also now an undisputed fact that MTL shipped the subject boats together with their respective trailers inasmuch as MTL did not raise any issue regarding this assertion of fact in opposition to a motion by complainants herein in the matter of World Express, *supra*:

(“Crocus [FZE] exported the Chaparral and Monterey to Dubai using the services of [Marine Transport] for purposes of having the boats repaired and then returned to the United States for sale or rental to third-parties.”). Third-Party Defendants even adopt this position in their moving papers. See Movant’s Br., D.E. 51-1, at 7 (stating the “Monterey

¹ In order to avoid burdening the Commission with this voluminous document, specific pages were provided, however, the entire file shall be provided forthwith upon request of the Commission.

and Chaparral together with their trailers were transported by [Marine Transport] to Dubai to be repaired and sold.”) See, World Express & Connection, Inc. v. Crocus Investments, LLC, 2017 WL 4516465, at *4 (D.N.J. 2017), *reconsideration denied*, 2017 WL 9690974 (D.N.J. 2017)

This Status Report presents the following new facts for the Commissions’ reference which were previously disputed by respondents or constituted information that was previously in the exclusive possession, custody, and control of respondents, the recent disclosure (or admission) of which constitute a change in status of this matter:

- While Aleksandr Solovyev owns Car Express & Import, Inc. (Car Express), a company that buys vehicles and boats, Car Express did not arrange to have complainants’ boats transported overseas on behalf of complainants, nor was Car Express “agent” of MTL in Solovyev’s dealings with complainants with regard to sale of the boats as well as arrangements for their transportation. (The alleged agency relationship between Car Express and MTL is discussed on p. 13, FF# 42 of the Presiding Officer’s Initial Decision of June 17, 2016). These new facts are explained below. Complainants also add that the Vessel Bills of Sale for the subject Monterey and Chaparral previously produced in this matter, but only recently admitted to have been signed by Solovyev as “General Manager” on behalf of the MTL corporation (as explained below), are akin to a commercial invoice and are part of the ‘commercial set’ of four documents that make up any ordinary commercial shipping transaction, including the bill of lading, insurance certificate, and draft bill of exchange.²
- While complainants corresponded with respondent Solovyev, it was respondent MTL that made arrangements to store, sell and transport the subject boats that complainants intended to resell overseas. (See, Vessel Bills of Sale, which have now been authenticated by MTL as discussed below.)
- World Express & Connection, Inc. (“World Express”) was only involved in the business of loading cargo into containers, rather than World Express’ previous assertion that it was in the business of *loading, shipping and storage*. (This assertion was mirrored in the ID at p. 11, FF# 24). The Transcript of the Deposition of Raya Bakhirev is discussed below on this issue.
- During the relevant time period, respondent, Solovyev, was neither an owner, nor was he the president or other officer of WEC, and did not own any shares of WEC. During the relevant time period, neither were there any corporate resolutions authorizing respondent, Solovyev to act on behalf of WEC. (Solovyev acting on behalf of WEC is discussed in the ID at p. 11, FF# 23). The Transcript of the Deposition of Raya Bakhirev is discussed below on this issue.

² Winter, William. *Marine Insurance: Its Principles and Practices*. 3rd ed. (New York: MH, 1952) pp. 47-48.
<https://ia801409.us.archive.org/4/items/marineinsurancei00wint/marineinsurancei00wint.pdf>

- MTL is not owned solely by Mr. Solovyev's estranged wife, Alla Solovyeva. (See, Report of Criminal Investigation of Aleksandr Solovyev, discussed below).
- Respondent, Solovyev did not act as MTL's agent when he arranged for the sale and transport the subject boats that complainant, Alexander Safonov intended to resell overseas. (See, Vessel Bills of Sale, which have now been authenticated by MTL as discussed below).
- Respondents now admit that they are not in possession of the Certificate of Title for the Boat Trailer for the Formula. (See, Certification of Alla Solovyeva and Aleksandr Solovyev, discussed below.)
- MTL did not always require the person shipping a boat through it to present proof of ownership, however, in order to ship a boat trailer or a boat on a trailer, a title is required due to the fact that U.S. Customs classifies boat trailers in the same manner as self-propelled vehicles. In the event that a boat on a trailer is being shipped, U.S. Customs would validate the title for the trailer. (See, Appendix "A", p. 22/ln. 12-25; p. 23/ln. 1-16).
- The VIN# LW95141 (set forth in RFG Invoice 1204 AS and relied upon by the ALJ in the Initial Decision in Finding of Fact #86, 87, and 89) for the boat trailer for the Formula is 'non-existent' pursuant to Federal Regulations that govern the requirements for VIN numbers. (See, Report of complainants Expert Witness from the matter of World Express, *supra*, discussed below).
- In the absence of any proof of ownership for the boat trailer for the Formula (for example, a Certificate of Title), this trailer with non-existent VIN number could not be exported outside of the United States under U.S. Customs regulations." (See, Report of complainants Expert Witness from the matter of World Express, *supra*, discussed below).

Complainants' Motion to extend the deadline for the Commission's issuance of a Final Decision also explained that Mr. Alper gave testimony authenticating the Vessel Bills of Sale pursuant to which MTL, as Seller sold the Monterey and Chaparral to complainants (as well as other boats previously sold by MTL to complainants) for the sole purpose of exporting said boats abroad. The Vessel Bills of Sale established a regular course of business wherein it was MTL as Seller (and neither Solovyev nor Car Express) that sold the boats prior to export directly to complainants for the sole purpose of export abroad.

Mr. Alper testified that he notarized said Vessel Bills of Sale, the authenticity of which has been denied by respondents herein, and which were signed by respondent Solovyev on behalf of MTL in his capacity as “General Manager” of MTL (the Commission may recall that Mr. Solovyev was questioned about this document at a deposition and he testified that it was not even his signature on the document); (See, Document 27 - Transcript of Hearing of May 13, 2016, at p. 43). Now, after the record has been closed in this matter and after the filing of Exceptions to the Initial Decision and two Petitions to Reopen the Proceedings, Solovyev finally admits that it was his signature on the Vessel Bills of Sale. Said Vessel Bills of Sale were included within the Appendix to complainants’ Exceptions and established that respondent, Solovyev represented himself to be “General Manager” of MTL which sold the boats to complainants.

Page “4” of the Commission’s March 6, 2017 Memorandum and Order (Document 44) explains as follows:

The ALJ issued the Initial Decision on June 17, 2016 and dismissed the complaint with prejudice. Initial Decision at 19-25. In dismissing the § 40901(a) claim, the ALJ found that Mr. Solovyev: (1) acted as Marine Transport’s agent in arranging for and collecting payment for ocean transport; and (2) as such, was not required to be licensed as a NVOCC. Id. at 19-21. In particular, the ALJ stated: “Because Solovyev made it known that he was acting as an agent for the disclosed NVOCC principal [Marine Transport], Solovyev did not hold himself or [Royal Finance] out to the public to provide transportation and did not assume responsibility for Complainants’ boats.” Id. at 21.

Page “1” of the ALJ’s June 17, 2016 Initial Decision (“ID”) (Document 29) explains as follows:

Aleksandr Solovyev (Solovyev) operates Royal Finance Group, Inc. (RFG) and two other companies that are relevant to this proceeding. Solovyev at times works as an agent for MTL.

Page “3” of the ID explains as follows:

Solovyev/Car Express also acts as an agent for MTL on shipments transported by MTL. (ALJFF 28.)

Page “3” of the ID also explains as follows:

Solovyev, operating as his companies and as agent for respondent MTL, would then carry out the tasks necessary to purchase the boats and transport them to Dubai. Car Express, identified as a "member" of Copart, would purchase the boats from Copart on behalf of Safonov's companies. RFG provided financial services. One of Safonov's companies would wire the money for purchase or transportation of a boat to RFG which would then transfer the money to the appropriate recipient- Copart for the purchase or respondent MTL for transportation, and RFG would retain a fee. World Express stored the boats before they were loaded on board vessels to be transported to Dubai. MTL operated as an NVOCC on the shipments of the boats from the United States to Dubai. Solovyev through his company Car Express would act as an agent for MTL in arranging the shipment.

Page “21” of the ID explains as follows:

Because Solovyev made it known that he was acting as an agent for the disclosed NVOCC principal MTL, Solovyev did not hold himself or RFG out to the public to provide transportation and did not assume responsibility for Complainants' boats. Operating as an NVOCC, MTL issued the bills of lading for the transportation from the United States to Dubai. ALJFF 48, 54. Complainants have not proved by a preponderance of the evidence that Aleksandr Solovyev acted as an ocean transportation intermediary (OTI), not as an agent for MTL in arranging for the international ocean transportation of Complainant's boats. I find that Solovyev did not operate as an NVOCC when the Monterey and the Chaparral were transported to Dubai and is not subject to the Commission's section 4090 I licensing requirements.

MTL did not only provide NVOCC services but it additionally sold the subject boats to complainants, and while RFG had nothing to do with these transactions involving complainants and MTL only, RFG issued invoices for ocean freight and which were inflated, and where RFG overcharged complainants for OTI services which it did not provide (and where it collected money from complainants). The Commission may recall complainants' allegation that RFG/Solovyev were acting as an OTI without a license when RFG/Solovyev issued invoices and collected monies for ocean freight, while it was MTL only (not RFG and not Car Express) that undertook to export said boats as part of package deal which included the sale of the boats by MTL - - in essence, that RFG had no role in the sale and export of the pleasure boats and when it

issued invoices and collected monies for ocean freight, and that RFG was acting under the sole direction of respondent Solovyev (who held himself out to be the “General Manager” of MTL).

The Vessel Bill of Sale for the Chaparral which has now been authenticated by MTL was annexed as Appendix “4” to complainant’s October 28, 2016 Petition to Reopen the Proceedings (Document 39) and provides the following information:

- Seller: Marine Transport Logistic
- Buyer: Middle East Asia Alfa, FZE
- Boat: 2008 Chaparral, VIN # FGBL3738D808
- Signature: Aleksandr Solovyev, dated 5/22/2013, in capacity of “General Manager”
- Notarized by: Notary Public Vadim Alper on May 23, 2013, stating that the Vessel Bill of Sale was acknowledged by Aleksandr Solovyev as General Manager of Marine Transport Logistic a State of New Jersey Corporation on behalf of the corporation.
- States as follows: “I(we)³ do hereby sell to the buyer(s) named above rights and interest in the vessel...”.

The Vessel Bill of Sale for the Monterey which has now been authenticated by MTL was annexed as Appendix “5” to complainant’s October 28, 2016 Petition to Reopen the Proceedings (Document 39) and provides the following information:

- Seller: Marine Transport Logistic
- Buyer: Middle East Asia Alfa, FZE
- Boat: 2011 Monterey, VIN # RGFMC1931011
- Signature: Aleksandr Solovyev, dated 4/30/2013, in capacity of “General Manager”
- Notarized by: Notary Public Vadim Alper on April 30, 2013, stating that the Vessel Bill of Sale was acknowledged by Aleksandr Solovyev as General Manager of Marine Transport Logistic a State of New Jersey Corporation on behalf of the corporation.

³ In order to avoid confusion, it should be noted that the “I(we)” designation in the Vessel Bills of Sale are understood to be a reference to MTL and Soloveyv in his capacity as “General Manager” of MTL.

- States as follows: “I(we)⁴ do hereby sell to the buyer(s) named above rights and interest in the vessel...”.

The MAERSK Line Non-Negotiable Waybill for the shipment of the Chaparral and Monterey indicates that the boats were “Shipped on Board” for the Monterey on May 5, 2013 (See, ID at p. 14, FF# 49) , and for the Chaparral on May 25, 2013 (See, ID at p. 15, FF# 55).

As to the January 31, 2018 deposition of Mr. Alper, Specific sections of Mr. Alper’s deposition testimony are set forth below for the Commission’s reference for purposes of demonstrating that RFG/Solovyev were acting as an OTI without a license):

- Mr. Alper worked at MTL between 2009 through April of 2015 and served in the roles of General Counsel and Director of Operations. (See, Transcript of Deposition of Vadim Alper a/k/a Dmitry Alper of January 31, 2018, Annexed hereto as Appendix “A”, p. 13/ln. 6-12).
- Alper authenticated the Vessel Bills of Sale for the Chaparral and Monterey boats and acknowledged that the bills of sale (which list MTL as “seller” and Solovyev as “General Manager” of MTL) were signed by Solovyev as “General Manager” and were notarized by Alper. (See, Appendix “A”, p. 91/ln. 22-24; p. 92/ln. 1-19; p. 93/ln. 14-21).⁵

Additionally, on June 11, 2018, MTL supplemented its long overdue and previously deficient responses to various interrogatories served upon it in the matter of World Express, *supra*. Annexed hereto as Appendix “B” for the Commission’s reference is a copy of MTL’s supplemental response, and the Commission is respectfully referred to paragraphs “17” and “18” (on pages “3” and “4” respectfully) wherein MTL admits that Solovyev signed the Vessel Bills of Sale and that he is indeed listed as having signed them as “General Manager” of MTL. The Commission is respectfully asked to note that MTL previously refused to respond to these

⁴ See footnote “3”.

⁵ The Vessel Bills of Sale for the Chaparral and Monterey boats, as well as for the Four Winds boat (listed on the bill of sale as “Four Winds” which the Commission determined to be a “Four Winns” in its March 6, 2017 Memorandum Opinion and Order at p. 9) and Sea Ray boats purchased by complainants from MTL and Solovyev (bates numbered DEF0362 – DEF0365) were marked as Exhibit “14” during Alper’s deposition, and are annexed hereto as Appendix “D”.

interrogatories and has only recent done so recently pursuant to an Order of the Magistrate Judge in World Express, *supra*.

Also annexed hereto as Appendix “C” is a Cover Letter from the Union County Prosecutor’s office, as well as specific pages from their file regarding a criminal investigation of respondent Solovyev, which was received on or about June 7, 2018 in response to a subpoena for documents in the matter of World Express, *supra*.⁶ The Commission is respectfully referred to bates numbered page DEF0843. As set forth therein, the investigating officer/detective explains that “Additional checks also revealed that SOLOVYEV is listed as the owner for Marine Transport Logistics (MTL) and his wife Alla SOLOVYEVA is listed as the company chairman.”

During the course of his deposition, Mr. Alper also offered testimony regarding MTL’s practice (specifically that of Solovyev and RFG) of collecting monies from complainants for ocean freight for commodities which respondents then shipped, without identifying said commodities to the ocean liner.

Specifically, Mr. Alper testified regarding the shipment of the Monterey and Chaparral to Dubai and cross referenced the RFG invoices for this shipment against the Maersk Ocean Liner Bill of Lading. He offered testimony regarding MTL’s failure to identify to Maersk the boat trailers which were contained within the cargo containers containing the Monterey and Chaparral during shipment (the very same trailers for which RFG issued invoices for ocean freight, collected money from complainants and profited as a result thereof). It is undisputed that RFG charged complainants herein for ocean freight which included shipment of the boat trailers.

⁶ In order to avoid burdening the Commission with this voluminous document, specific pages were provided, however, the entire file shall be provided forthwith upon request of the Commission.

Specific sections of Mr. Alper's deposition testimony are set forth below for the Commission's reference for purposes of demonstrating that RFG charged complainants herein for ocean freight which included shipment of the boat trailers, and MTL failed to identify the trailers to MAERSK at the time of shipment:

- If U.S. Customs were to inspect a container being exported and find that boats being shipped and have been placed on a trailer and that only the boats were declared to U.S. Customs for export, there may be criminal penalties and/or monetary penalties for failure to declare commodities. (See, Appendix "A", p. 50/ln. 4-19).
- Different commodities have to be specified on the Shipper's Export Declaration filed electronically with the U.S. Department of Commerce prior to export because "Different commodities go at different rates". (See, Appendix "A", p. 35/ln. 17-22)
- MTL failed to identify to MAERSK in its Bill of Lading the boat trailers for the Monterey (VIN# RGFMC1931011) and for the Chaparral (VIN# FGBL 3738D808) which were contained within the cargo containers, and which were purchased by complainants from respondents and indicated in RFG invoices provided by respondents to complainants. (For the Monterey, see, Appendix "A", p. 105/ln. 22-25 and RFG invoice marked as Alper "20" and Alper "21" annexed hereto as Appendix "E"; p. 106/ln. 7-23 and MAERSK BOL marked as "Alper 22" annexed hereto as Appendix "F"); (For the Chaparral, see, Appendix "A", p. 110/ln. 20-25, p. 111/ln. 1-9 and MAERSK BOL marked as Alper "26" and RFG Invoice marked as "Alper 25" both annexed hereto as Appendix "G").
- MTL did not always require the person shipping a boat through it to present proof of ownership, however, in order to ship a boat trailer or a boat on a trailer, a title is required due to the fact that U.S. Customs classifies boat trailers in the same manner as self-propelled vehicles. In the event that a boat on a trailer is being shipped, U.S. Customs would validate the title for the trailer. Appendix "A", p. 22/ln. 12-25; p. 23/ln. 1-16).

In the Initial Decision, the Presiding Officer made a finding of fact that Solovyev, through his company Car Express & Import Inc. had acted as "agent of MTL" when he directed complainants to pay RFG's invoices. It would appear that the information set forth above demonstrates that Solovyev was not acting as "agent" of MTL through Car Express inasmuch as the Vessel Bills of sale were authenticated by Mr. Alper and that they continued to list MTL as seller of the vessels as testified to by Mr. Alper:

Q. And who's the seller of these?

A. The seller was Marine Transport Logistics.

(See, Appendix "A", p. 92/ln. 17-19).

The Commission may further recall that complainants argue throughout their Second Petition to Reopen the Proceedings that respondents took possession, custody, and control of the subject Formula pleasure boat at issue herein, and that respondents then kept the boat in their warehouse for six (6) months (to wit: 186 days) on the alleged basis that the Formula needed a suitable boat trailer for transporting it by sea (which respondents failed to procure despite having twice collected monies from complainants for the purchase of the trailer).

During the course of discovery in the matter of World Express, *supra*, complainants herein served a document demand upon MTL and Solovyev, wherein complainants demanded that respondents produce a copy of the Certificate of Title for said boat trailer. The Commission is respectfully referred to paragraphs "12" on page "2" of Appendix "B" wherein respondents admit that they are not in possession of the Certificate of Title. The Commission may find this information relevant on the issue of whether or not respondents violated the Shipping Act by effectively 'sitting on their hands' and allowing storage charges to accrue for the storage of the Formula. Even if the trailer existed, respondents could not proceed to export the Formula on the trailer without the title for the trailer and Solovyev/MTL never notified the complainants about this issue so that the Formula could be exported overseas as originally agreed to by and between the parties.

A change in status in this matter on the issue of the boat trailer for the Formula that may be relevant for the Commission is that during the course of discovery in the matter of World Express, *supra*, the Court compelled respondents to provide a certification that they searched their records for the certificate of title for the boat trailer for the Formula bearing VIN number

LW95141 as set forth in RFG Invoice # 1204 AS and relied upon by the ALJ in the Initial Decision in Findings of Fact #'s 86, 87, and 89. Annexed hereto as Appendix "H" is a copy of a Certification signed by Alla Solovyeva and Aleksandr Solovyev (together with a cover email from their counsel on September 21, 2018) certifying that after a complete and thorough search, that no additional responsive documents exist, "other than what was already provided to date".

Annexed hereto as Exhibit "I" is a copy of an Expert Report⁷ signed by complainants' expert witness in the matter of World Express, *supra*, and disclosed in that matter pursuant to Federal Rules of Evidence 702, 703, and 705, and Rule 26(a)(2) of the Federal Rules of Civil Procedure, explaining on pages 5-6 thereof that VIN number LW95141 is 'invalid' pursuant to Federal Regulations and that this trailer as identified in Royal Finance Group Inc. Invoice # 1204 AS "could not exist based upon the VIN number which is listed in it (specifically VIN# LW95141 – 37 foot trailer, year 2005)". As the Commission can see, complainants' expert also explains that a search for this VIN number was attempted using the Carfax database, which resulted in a return message from Carfax explaining that "The VIN must be 17 characters". See, *Id.*

The Commission is also respectfully asked to note that the report explains, on page "7" that:

"As to the boat trailer identified in Royal Finance Group, Inc. Invoice" # 1204 AS (specifically VIN# LW95141 – 37 foot trailer, year 2005), in the absence of any other documents that could possibly be relevant to the registration and/or ownership of the trailer, such as a proof of registration, Certificate of Title, proof of insurance, purchase invoice or otherwise, the trailer under VIN number LW95141 never existed."

Complainants' expert witness also confirmed on pages 6-7 that in order to ship a boat trailer or a boat on a trailer, a title is required due to the fact that U.S. Customs classifies boat trailers in the same manner as self-propelled vehicles. In the event that a boat on a trailer is being

⁷ In order to avoid burdening the Commission with this voluminous document, the Exhibits to the Expert Report have been omitted, however, the entire file shall be provided forthwith upon request of the Commission.

shipped, U.S. Customs would validate the title for the trailer. The report explains on page “7” as follows:

“Additionally, in the absence of any proof of ownership for the trailer (for example, a Certificate of Title), this trailer with non-existent VIN number could not be exported outside of the United States under U.S. Customs regulations.”

An additional change in status in this matter that may be relevant for the Commission is with regard to the ALJ’s finding that the subject boats were allegedly stored at the storage facility of World Express, rather than that of MTL. For example, page “2” of the Commission’s Memorandum Opinion and Order of March 6, 2017 repeats the statements of the ALJ in the ID regarding World Express’ alleged involvement in this matter, explaining as follows:

Storage was handled by World Express Connection, Inc. (World Express) (citing to footnote “1” which states that: “Although the boats were stored at its facility, World Express is not named as a party. Initial Decision at 2.”)

Mr. Alper testified in his deposition (in addition previously having testified that he was the Director of Operations and General Counsel of MTL during the relevant time period) that “...the whole yard was MTL’s yard...”. (See, Appendix “A” at p. 16/ln. 13-14).

The Commission is respectfully referred to page bates numbered “DEF0845” of the records from the criminal investigation of respondent, Solovyev (previously annexed hereto as Appendix “C”) wherein the investigating officer explains that surveillance was performed “...on the marked Marine Transport Logistics (MTL) lot. The lot was marked as ‘MTL Shipping and Receiving’”. The report further explains that surveillance was also performed on an unmarked lot appurtenant to the MTL lot wherein “Personnel that were observed working in the ‘MTL Shipping and Receiving’ lot were also observed working within this unmarked lot” and that “Based on the observations made of the loading activities, as well as the pervious surveillance, the unmarked lot appears to be the loading area for Marine Transport Logistics (MTL)”.

An further change in status in this matter that may be relevant for the Commission is with regard to the deposition testimony the corporate representative of World Express, Raya Bakhirev (who also testified in her personal capacity as a named third-party defendant), taken on November 7, 2017 and November 15, 2017, pursuant to Fed. R. Civ. P. 30(b)(6) in the matter of World Express, *supra*. A copy of the relevant portions of Ms. Bakhirev's deposition transcript from the first day of her deposition is annexed hereto as Appendix "J" wherein she testified that World Express was only involved in the business of loading cargo into containers, rather than World Express' previous assertion that it was in the business of loading, shipping and storage:

Q: You testified WEC is in business of Loading, shipping and Storage.

A. We are only involved in Loading cars in containers.

(See, Appendix "J" at p. 53/ln. 4-8).

Q. So let's say I wanted to store my car, and I'm not shipping it, what is my rate?

A. We will not take your car for storage.

(See, Appendix "J" at p. 137/ln. 21-22).

A final issue for the Commission's reference that may constitute a change in status in this matter arising out of the second day of Ms. Bakhirev's deposition testimony (annexed hereto as Appendix "K" is as follows:

- She is the President of World Express and respondent Solovyev was not an owner of World Express in 2015. (See, Appendix "K" at, p. 24/ln. 11-22; p. 94/ln. 14-25; pp. 95-96).
- Respondent Solovyev is not an officer of World Express. (See, Appendix "K" at p. 98/ln. 6-14)
- From 2010 to the present time, respondent, Solovyev was never an the President of World Express, nor were there any corporate resolutions appointing him as an officer of the company. (See, Appendix "K" at p. 128/ln. 12-17; p. 129/ln. 18-21; p. 138/ln. 1-5).

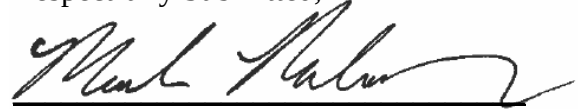
- Solovyev did not receive any shares of World Express (after its transfer to Bakhirev). (See, Appendix “K” at p. 131/ln. 7-11).
- Complainants herein did not know of World Express, and that World Express operated “with MTL only”. (See, Appendix “K” at p. 118/ln. 21-23).

In closing, the foregoing, along with the attachments annexed hereto are respectfully submitted as same reflect a dramatic ‘change in status’ of this case with regard to the parties herein so as to inform the Commission of said change in status as same may reflect upon or be determinative of the pending Exceptions.

As always, complainants thank the Commission for its many continuing courtesies and considerations in this case.

Dated: November 1, 2018
Brooklyn, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', written over a horizontal line.

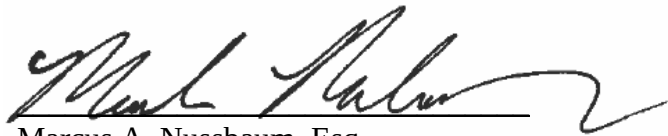
Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' STATUS REPORT and APPENDIX** upon Respondents' Counsel at the following address:

Garry Pogil, Esq.
112 West 34 Street, 18 Floor
New York, NY 10120

by first class mail, postage prepaid, and by email to: garry.pogil@gmail.com.

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P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

Dated: Brooklyn, New York
November 1, 2018